

Fidelity Private SharesSM

Fidelity

Fundraising Due Diligence Checklist



FUNDRAISING DUE DILIGENCE CHECKLIST

A. Actions and minutes

- ✓ All stockholder actions and meeting minutes.
- ✓ All board actions and meeting minutes.

B. Character documents and organization

- ✓ Organizational chart reflecting all of the Company's subsidiaries (wholly- and partly-owned).
- ✓ The Company's current Certificate of Incorporation and Bylaws, including any amendments.
- ✓ The certificate of incorporation and bylaws (or comparable charter documents) for each of the Company's subsidiaries.
- ✓ Please confirm the Company is or intends to become foreign qualified in any States where it is required to do so. If the Company is foreign qualified, please provide the registration

C. Equity records and equity holder agreements

- ✓ Forms of proprietary information and invention agreements and/or consulting agreements (as applicable) signed by past or present employees and consultants of the Company and its subsidiaries.

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C. Equity records and equity holder agreements

- ✓ A summary of the vesting schedules of any options to purchase capital stock of the Company subject to vesting, including any acceleration of vesting provisions.
- ✓ Agreements relating to the purchase, repurchase, sale or issuance of the Company's securities (other than those provided pursuant to F.3. below).
- ✓ The Company's current investor agreements (investor rights agreement, co-sale agreement, voting agreement, etc.).
- ✓ Agreements relating to voting of the Company's securities not provided pursuant to C.4. above.
- ✓ Agreements relating to preemptive or other preferential rights to acquire the Company's securities, including rights of first refusal, not provided pursuant to C.4. above.
- ✓ Agreements relating to registration rights not provided pursuant to C.4. above.
- ✓ Any other agreements with or among equity holders of the Company not provided pursuant to C.3. through C.7. above.
- ✓ Agreements pertaining to the issuance of securities of the Company's subsidiaries.
- ✓ Evidence of qualification or exemption under applicable federal (Rule 701) and state blue sky laws for issuance or transfer of securities of the Company and its subsidiaries.
- ✓ Please confirm that the Company has no promised options.

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C. Equity records and equity holder agreements

- ✓ Have any 83(b) elections been made?
- ✓ Please confirm every option grantee has signed option grant forms.

D. LEGAL AND REGULATORY

- ✓ All documents and correspondence relating to any pending litigation, threatened litigation, or disputes which could potentially lead to litigation involving the Company, its executive officers or its directors.
- ✓ Any consent decrees, injunctions, judgments, other decrees or orders, settlement agreements or similar matters.
- ✓ Please confirm that copies of all securities filings of the Company have been provided.

E. INTELLECTUAL PROPERTY

- ✓ Forms of proprietary information and invention agreements and/or consulting agreements (as applicable) signed by past or present employees and consultants of the Company and its subsidiaries.

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E. INTELLECTUAL PROPERTY

- ✓ Copies of the proprietary information and invention agreements and/or consulting agreements (as applicable) signed by officers, key employees and consultants of the Company and its subsidiaries.
- ✓ A list of any employees or consultants of the Company or its subsidiaries who have not signed a form of proprietary information agreement or consulting agreement (as applicable) in the form provided pursuant to E.1. above, including a list any periods of time during which employees or consultants performed services for the Company while not bound by such agreements.
- ✓ Any correspondence or documents relating to allegations of infringement of the proprietary rights of others by the Company or any of its subsidiaries, or allegations by the Company or any of its subsidiaries of infringement of its proprietary rights.
- ✓ Any licenses or agreements of any kind with respect to intellectual property to which the Company or any of its subsidiaries is a party (including "open source" licenses), other than (non-"open source" licenses) or agreements pertaining to "off-the-shelf" or standard products.
- ✓ Any documentation relating to the transfer of any technology or intellectual property to or from the Company or any of its subsidiaries.
- ✓ A list of all "free" or "open source" software that is used or distributed by the Company or its subsidiaries (alone or incorporated, integrated, or bundled with or into any Company products), or for which the Company or any of its subsidiaries plans to do any of the foregoing.
- ✓ Any obligation or condition (under "open source" licenses or otherwise) that would require that any products, software or technology developed by or for the Company or its subsidiaries: (a) be disclosed, distributed, or made available in source code form; (b) be licensed with the permission to create derivative works; or (c) be redistributable at no charge.

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E. INTELLECTUAL PROPERTY

- ✓ A list of patents, copyrights and trademarks (and applications therefor) of the Company and each of its subsidiaries and any searches relevant to such items that have been done.
- ✓ Please confirm whether all consultants have executed the Company's standard form consulting agreements and PIIAAs.

F. MANAGEMENT, EMPLOYEES AND CONSULTANTS

- ✓ A list of officers and directors. If any officers are not currently devoting 100% of their business time to the Company, please note them on this list.
- ✓ Forms of offer letter used by the Company and its subsidiaries..
- ✓ Any agreements, understandings or proposed transactions between the Company and any of its officers, directors and key employees not otherwise provided pursuant to C. or E. above, including employment agreements or offer letters currently in effect.
- ✓ Employee benefit and profit-sharing plans and arrangements, including stock option, stock purchase, deferred compensation, bonus, severance, change in control plans or arrangements, and related forms of agreements.
- ✓ A list and breakdown of all outstanding accrued salary, paid time off and reimbursable expenses as of a recent date.

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G. DEBT FINANCING

- ✓ All debt instruments and credit agreements entered into by the Company or any of its subsidiaries, including lease financing agreements, that are currently in effect.
- ✓ Any guarantees of third-party obligations by the Company or any of its subsidiaries that are currently in effect.

H. OTHER AGREEMENTS TO WHICH THE COMPANY OR ANY SUBSIDIARY IS A PARTY

- ✓ Standard forms of agreements used by the Company or any of its subsidiaries.
- ✓ Real property leases, including any amendments and all exhibits to such documents.
- ✓ Joint venture and partnership agreements.
- ✓ Management, service and marketing agreements.
- ✓ Agreements requiring consents or approvals in connection with the contemplated transaction.
- ✓ Agreements, letters of intent or term sheets regarding any proposed acquisition by the Company or any of its subsidiaries of any company, business or material amount of assets.
- ✓ Any other agreements material to the business of the Company or outside the ordinary course of business.
- ✓ A list of customers and suppliers by annual revenue amount and revenue/product type.

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H. OTHER AGREEMENTS TO WHICH THE COMPANY OR ANY SUBSIDIARY IS A PARTY



Any contract restricting the ability of the Company or any subsidiary to compete in any line of business with any person or entity or committing the Company or any subsidiary to continue in any line of business.

I. MISCELLANEOUS



All the Company's 409A valuations.



Brief description of any contract restricting the ability of the Company to compete in any line of business with any person or entity or committing the Company or any subsidiary to continue in any line of business.



Any documents indicating environmental liabilities or potential environmental liabilities, including violations of any environmental laws or agreements for indemnity or remediation of any adverse environmental conditions.



Any other reports and studies prepared with regard to the Company and/or its subsidiaries' business or financial condition.



Most recent year-end financial statements (audited, if audited financial statements are available) and latest monthly and year-to-date financial statements.



Documentation around revenue recognition policies.



Most recent annual operating plan, annual budget, business plan or similar document of the Company.



Please confirm that the Company currently has a D&O insurance policy and, if so, confirm the amount of coverage and provide a copy.



Please provide the indemnification agreements for each director.



Fidelity Private SharesSM

Fidelity

Automate all of your startup equity management operations and financings in a single collaborative hub.

Learn more: fidelityprivateshares.com

STARTUP

SCALING

PRE-IPO

EXIT

PUBLIC

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